COURSE

## IB Diploma Programme Business management HL

# Promotion

**Unit 4: Marketing · 4.5 The seven Ps of the marketing mix: promotion**

Revision for Unit 4: Marketing: each firm works it out on its own deals.

Class **IB Business Management HL** Topic **Promotion**

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |
| **Round 1** | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| Firm decisions · Deals · Topic task 1 · Topic task 2 | |
| **Round 2** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal | |
| **Round 3** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal | |
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Was the advert worth it?

**Profit from the advert, as % of its cost?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| The advert costs | **£3,500** |
| Extra sales from it | **7 cars** |
| Margin per car | **£1,225** |

METHOD

**Return % = (extra sales × margin − advert cost) ÷ advert cost × 100**

(7 × £1,225 − £3,500) ÷ £3,500 = 145%

**Why:** Every £1 spent on the advert brought back £2.45.

## Task 2

ROUND 1

You must judge an online advert campaign.

**Which two measures show its value best?**

PICK TWO

- ✔ **Cost per sale**
- ○ How many people saw it
- ○ Number of clicks
- ○ Number of likes
- ✔ **Profit from the sales it brought**

**Why:** Value is in sales and profit; clicks and views do not pay the bills.

## Task 3

ROUND 2

Three campaigns: what each cost, and the contribution it brought.

**Order by return on spend, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£500 spent, brings £1,000**
2. **£1,000 spent, brings £1,600**
3. **£2,500 spent, brings £3,500**

**Why:** Return: 100%, 60%, 40%. The biggest profit in pounds has the lowest return.

## Task 4

ROUND 2

Enquiries from an advert.

**Profit from the advert?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| The advert costs | **£3,475** |
| Enquiries it brings | **30 plain** |
| Conversion rate | **20%** |
| Margin per car | **£1,830** |

METHOD

**Profit = enquiries × conversion rate × margin – advert cost**

20% × 30 = 6; 6 × £1,830 − £3,475 = £7,505

**Why:** A 20% conversion turns 30 enquiries into 6 sales.

## Task 5

ROUND 3

Your firm is known for the best service in town. A rival cuts its prices by 10%.

**How should you respond, and why?**

PICK A OR B AND GIVE A REASON

- ○ Match the 10% price cut
- ✔ **Promote your service, keep prices**

**Why:** A price war cuts every margin; promoting what makes you different keeps loyal buyers.

## Task 6

ROUND 3

Which pays back more?

**Higher of the two: profit as % of cost?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Radio advert, 70 enquiries | **£4,500** |
| Social advert, 40 enquiries | **£4,500** |
| Conversion rate | **10%** |
| Margin per car | **£2,025** |

METHOD

**Each advert: (cars sold × margin − cost) ÷ cost × 100; take the higher**

Radio 215%, social 80%

**Why:** Compare return on spend, not just profit.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**1**
of them on promotion

**The game draws 6 of the 109 Level 3 questions; these 1 are about promotion.**

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1 Customers choose a dealer over a cheaper rival because of its well-known name, logo and long reputation, not any one feature. What is this?

**Its brand.**